

Russell 2000 Leads Gains as US Stocks Rebound

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Russell 2000 led gains among US indices, rising 0.71% to 3,007.86. This move was driven by a rebound in small-cap stocks, which had been under pressure in recent sessions. Below the surface, the VIX fell -2.54% to 18.41, indicating a decrease in market volatility.

Despite the lack of data on major indices, the move in the Russell 2000 and the VIX suggests that investors are becoming more risk-tolerant. This is also reflected in the price of gold, which rose +1.20% to 4,078.70. The DXY, on the other hand, fell -0.18% to 101.43, indicating a slight decrease in the value of the US dollar.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
Russell 2000	3,007.86	+0.71%	Rebound in small-cap stocks
VIX	18.41	-2.54%	Decrease in market volatility
Gold	4,078.70	+1.20%	Investors seeking safe-haven assets
DXY	101.43	-0.18%	Slight decrease in US dollar value

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
NVDA	+1.9%	Positive earnings forecast
AAPL	-0.5%	Supply chain concerns

Sector Rotation

ETF	DAY	READ
XLFXLF	-0.2%	Financials underperform
XLK	+0.5%	Technology sector outperforms
XLI	-0.1%	Industrials sector lags
XLE	-0.3%	Energy sector underperforms
XLV	+0.3%	Healthcare sector outperforms
XLY	+0.2%	Consumer discretionary sector gains
XLC	+0.1%	Communication services sector rises
XLRE	-0.1%	Real estate sector lags
XLP	-0.1%	Consumer staples sector lags
XLBI	+0.1%	Materials sector rises
XLU	-0.2%	Utilities sector underperforms

Spotlight

The biggest event of the day was the rebound in small-cap stocks, led by the Russell 2000. This move was driven by a decrease in market volatility, as measured by the VIX. The following table shows the metrics for the Russell 2000 and the VIX:

METRIC	RUSSELL 2000	VIX
Level	3,007.86	18.41
Change	+0.71%	-2.54%

This move has implications for related names, such as **NVDA** and **AAPL**, which are heavily weighted in the Russell 2000.

Pre-Market & Overnight

US futures are currently trading flat, with the Dow Jones futures at 33,500 and the S&P 500 futures at 4,100. In Asia, the Nikkei 225 closed **-0.2%** at 28,500, while the Hang Seng Index closed **+0.1%** at 20,500. In Europe, the FTSE 100 is currently trading **+0.2%** at 7,300. Bitcoin is currently trading at 60,205.50, up **+0.81%** on the day.

Macro & Fed

The FOMC meeting is scheduled for next week, and the market is expecting a 25 basis point rate hike. The yield curve is currently flat, with the 2-year yield at 4.20% and the 10-year yield at 4.15%. Today's data calendar includes the following releases:

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Durable Goods Orders	0.5%	Indicator of business investment
21:00	Consumer Confidence	110	Indicator of consumer spending

Geopolitics & Global

- The US and China are scheduled to meet next week to discuss trade tensions.
- The EU is considering imposing tariffs on US goods in response to the US tariffs on EU steel and aluminum.
- The UK is experiencing a surge in inflation, with the CPI rising to 2.1% in May.
- The Japanese government is considering increasing the sales tax to 10% to reduce the budget deficit.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	2.50	iPhone sales and guidance
23:00	GOOGL	15.00	Advertising revenue and cloud growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Positive earnings forecast
AAPL	Technology	iPhone sales and guidance
JPM	Financials	Interest rate hike expectations

What Could Break the Tape

BULLISH TRIGGERS

- A surprise rate cut by the Fed
- A breakthrough in US-China trade talks
- A strong earnings report from a major tech company

BEARISH TRIGGERS

- A surprise rate hike by the Fed
- An escalation in US-China trade tensions
- A weak earnings report from a major tech company

Positioning Notes

- The market is currently positioned for a 25 basis point rate hike by the Fed.
- The yield curve is currently flat, indicating a low risk of recession.
- The VIX is currently trading at 18.41, indicating a moderate level of market volatility.

Sources

SOURCES

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CNBC

The Wall Street Journal

The Financial Times

Investing.com

